US Rates Viewpoint

UST buybacks = activist debt management

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Surprising buybacks = activist DMO & back-end jolt

Treasury surprisingly announced it will at least double the maximum size of long-end nominal liquidity support buybacks beginning Sept 9 through Nov 4. The cap will be raised from $2bn to “at least” $4bn per operation in the 10y-20y and 20y-30y sectors.

Assuming Treasury maintains long-end buyback operations at 33x per year, the higher operation cap adds $2bn per operation, or $66b per year of additional long-end buyback capacity. Sizes could be larger given UST’s “at least” description.

Current gross issuance in 20Y and 30Y is $444bn/y. If the buyback changes hold and max sizes are accepted, $66bn of annual buybacks = ~15% of long-end gross issuance.

Big takeaway: activist Treasury DMO

Our big takeaway = UST is now more activist in debt management. Treasury’s justification = “greater liquidity support in longer-dated nominal sectors where there is consistent strong sponsorship from market participants” (Exhibit 1). The timing was unexpected and reflects a break from traditional practice (Exhibit 2). Treasury likely acted today due to concern with: (1) 30Y UST level (2) 30Y UST rise speed. UST may have also believed acting in low liquidity late Aug markets = bigger bang for buck. Notably, we see no signals of material long end liquidity worsening (Exhibit 3, Exhibit 4).

Treasury’s more activist approach suggests today’s action may only be the beginning. In our view it increases the risk of a cut in long end coupon sizes at the Nov refunding (we are not forecasting cuts). UST action also raises risks that Fed Chair Warsh at Jackson Hole may sound more hawkish and provide more guidance to contain the long end.

Activist UST = 30y spread long

We now recommend long 30y spreads at -71bp with a target of -55bp and a stop of -80bp (risk = term premium spike). Treasury’s policy support is concentrated in the long-end. We expect 30y spreads to widen as buybacks richen the long-end UST curve vs swaps. We still hold our long 2Y spread view given attractive carry & roll (current: -14, target: -10, risk: liquidity squeeze); higher future bill issuance is a risk.

We still hold our 5s30s steepener (entry 89bp, target 110bp, stop 70bp), though we have less conviction following Treasury’s move. The steepener can still work if labor and inflation data moderation => fewer Fed hikes priced. However, we acknowledge activist Treasury suggests lower liquidity premium & likely lower long-end levels.

FAQs: timing, funding, issuance outlook, Fed, yen link

Why today? Rate level, speed, & August liquidity. **Funding of buybacks?** 3 options: (1) bills (2) coupons ex 10Y+ (3) TGA. Bills most likely. **Long end coupon cut risks?** Higher. **Is this QE?** No, but only in narrow sense. **Fed implications?** Monetary = hawkish risk w/ more policy guidance; balance sheet = bigger w/ RMPs. **How is this related to coordinated intervention?** UST long end protection. Detail on following pages.

Acronyms:

DMO = debt management office

UST = US Department of Treasury

TGA = Treasury General Account

QE = quantitative easing

RMPs = reserve management purchases

FY = fiscal year

QRA = Quarterly Refunding announcement

IORB = interest on reserve balances

BoJ = Bank of Japan

JGB = Japanese government bonds

FIMA = Foreign and International Monetary Authorities

Treasury buyback FAQs

Q: Why did Treasury act today?

A: Treasury likely acted today due to concern with: (1) 30Y UST level (2) 30Y UST rise speed. UST may have also believed acting in low liquidity late Aug markets could have resulted in a larger impact. Other factors may have also factored in, including media attention on multi-decade high bond yields & affordability concerns ahead of election. Notably, we see no signals of material long end liquidity worsening to justify the action.

Treasury's actions are very non-traditional buyback related communications (especially since the August refunding meeting was only 2 weeks prior). Similar actions are increasingly likely. Such actions may become more frequent without greater US fiscal discipline. We sense most in the market are not expecting US fiscal discipline soon.

Q: How will Treasury fund buybacks?

A: Treasury has three options to finance buybacks (1) bills, (2) coupons <10y, (3) TGA. Bills are most likely. Why? Bills often act as a shock absorber to accommodate changing financing needs and can be adjusted alongside fluctuations in buyback needs with relatively low-rate impact vs coupons. Strong front-end demand for bills should help absorb supply without meaningful cheapening in front-end spreads. Bills are also sensible of lower rates allow for better future term funding levels.

We expect Treasury will maintain coupon auction sizes until Aug '27 (see Aug refunding recap). However, we acknowledge a shortfall between T-bill issuance and demand from the Fed and front-end investors in FY '27 (see: Bill demand: bolstered by SOMA & MMF). Larger buybacks exacerbate this shortfall and could push Treasury to consider growing coupon auction sizes sooner. We currently forecast Treasury will grow 2y-7y auction sizes starting at the Aug '27 refunding quarter but acknowledge risk of a Feb or May '27 start. Longer-dated coupon cuts are also a growing risk with more activist UST Sec.

Sustained use of the TGA is unlikely given Treasury's preference to maintain adequate cash balances and therefore could only temporarily finance buybacks until Treasury rebuilds their cash balance. Higher bill supply also implies larger and more frequent bill paydowns. This poses upside risks to TGA given Treasury's preference to maintain at least 5 days of gross outflows.

If Treasury maintains the monthly operation frequency and only grows long-end buybacks, this implies $66b more long-end buybacks to be financed via net new T-bill issuance (Exhibit 5, see Appendix). We now forecast FY '27 bill supply of $1066b (Exhibit 6), which will drive bills to 24% of marketable debt from 22% currently.

Q: Long-end coupon cut risks?

A: Our base case has long assumed that Treasury will maintain back-end auction sizes. We assume new buyback size will reduce long-end supply at a pace of $132b / year (3 x $66b) and slowly shorten Treasury WAM. This should support back-end rates. However, if back-end rates continue to push higher, Treasury may need to consider back-end supply cuts.

Q: Is this QE?

A: No, but only in a narrow sense. The US Treasury does not have the direct ability to conduct QE, only central banks can do QE. QE is technically the purchase of assets funded via the creation of central bank reserves. Treasury's buybacks must be funded by raising cash via debt offerings in other tenors. Hence, buybacks are not QE.

The QE distinction becomes more clouded via the concept of a consolidated government balance sheet (incl fiscal & monetary authorities). In theory, the Treasury can buy long-dated USTs, fund them with bills, & Fed can buy bills via balance sheet expansion. This would see the consolidated government balance sheet grow & duration risk held by the private market decline (all else equal). We see risks the Treasury & Fed are moving in this way. See appendix on greater detail around the consolidated balance sheet.

Q: Fed implications for policy path & balance sheet?
A: We see Fed implications on both the policy path & balance sheet:

Policy path: Treasury buyback action likely reflects broader administration concern over UST long end. The Fed can also do its part to help contain the long end via: (1) more hawkish policy stance (2) clearer guidance on inflation outlook & reaction function. Jackson Hole is an opportune time for both shifts, which we increasingly expect.

Hawkish stance: Chair Warsh can reflect increased impatience with lowering inflation. He can reiterate that rate hikes remain a very viable option if there is not continued progress on inflation declines. A speech line stating that rate hikes are a low price to pay for inflation goal achievement would go a long way in reinforcing Fed credibility.

Guidance: Chair Warsh can also help re-establish Fed credibility by providing an outlook on the expected path of inflation & the Fed's reaction function if there are deviations from it. We do not believe such communications are "forward guidance". This would detail the plan to get inflation back to 2% & inform on Fed reaction. It would likely help reduce elevated uncertainty that has supported high 30Y rates.

Balance sheet: Treasury buybacks funded with bills risk forcing larger Fed RMPs. The Fed can be "shoehorned" by the Treasury in their desire to maintain ample reserves. Some at Fed have defined ample reserves as UST repo "on average near, but slightly below, IORB". Higher UST bill issuance can put upward pressure on UST repo which forces the Fed into larger RMPs. More RMPs run counter to Warsh Fed sheet desire.

We believe Warsh will accept that Fed must do larger RMPs to support UST long end & higher bill issuance. Warsh can justify the action since Fed is buying near zero duration T-bill assets which should limit impact on financial conditions. Warsh can also justify by offsetting via faster WAM reduction in Fed UST holdings. Warsh can say Fed is staying in their narrow lane of policy implementation & not interfering with UST decisions.

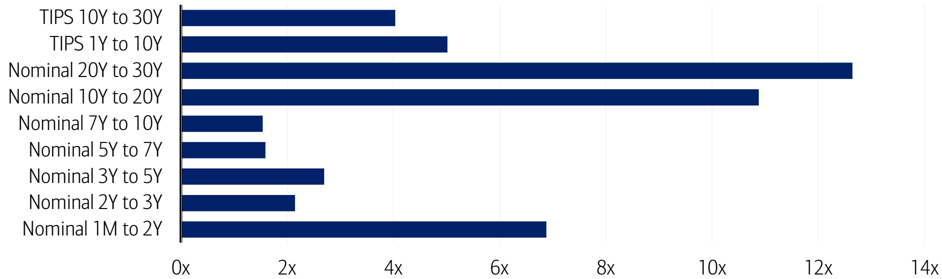
Q: How is this related to coordinated intervention?
A: We see the common thread as Treasury concerns over the UST long end. We believe Bessent supported the coordinated intervention with the following logic: behind curve BoJ => steepening of JGB curve => steepening of UST curve. We believe Bessent must have acted with Japan gov't assurance around faster BoJ hikes to limit steepening. Bessent FIMA comments also reflect sensitivity around UST selling.

In a similar vein, Treasury actions today reflect support for the UST long end likely in coordination with the Fed. We suspect both Bessent & Warsh acknowledge issues around the UST long end & both entities agreed to support in their own ways (Warsh = hawkish stance, more reaction function guidance, & RMP acceptance).

Treasury buybacks and coordinated FX intervention are distinct policy tools but can ultimately support long-end USTs. Buybacks reduce the stock of longer-dated USTs and take out duration risk. Coordinated FX intervention can have a similar effect when foreign official institutions maintain or increase UST holdings as a part of reserve management. Secretary Bessent's recent comments around FX intervention strongly encouraged Japan's MoF to use the Fed's FIMA repo rather than outright sell their UST securities to finance their Yen purchases. By using FIMA repo rather than selling USTs, it would avoid increasing the supply of privately held USTs, which could push long-end rates higher.

Exhibit 1: Average buyback oversubscription since Aug '25

We calculate oversubscription as the sum of investor offers relative to max buyback amount per operation



Source: BofA Global Research, Treasury

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Exhibit 2: UST buyback guidance has changed

Comparison of 5 Aug quarterly refunding announcement vs today's buybacks announcement

Prior UST guidance (5 Aug QRA)	Today's change (19 Aug)	Debt composition impact	Market implication
Full-quarter buyback plan, expecting up to $38bn of liquidity-support buybacks. Accompanying buyback schedule specified $2bn maximum size per operation for both the 10y-20y and 20y-30y liquidity-support buckets. TBAC materials highlighted that long-end sectors were already consistently filling buyback capacity and that prior program changes had been made through quarterly refundings, primarily via changes in operation frequency.	Increased maximum size of 10y-20y and 20y-30y liquidity-support buybacks from $2bn to at least $4bn per operation, effective Sep. 9 through Nov. 4, and will release an updated schedule later.	Incremental buyback capacity shifts toward the long end, increasing Treasury demand for off-the-run 10y-30y securities.	Long-end-specific liquidity support; bullish for long-end valuations and spreads.
	Increased operation size mid-quarter, rather than waiting for the Nov. 4 QRA or adjusting frequency through the refunding process.	Support mechanism shifts from frequency expansion to size expansion.	Process surprise: Treasury revised a QRA-announced buyback framework only two weeks after publication.

Source: Treasury

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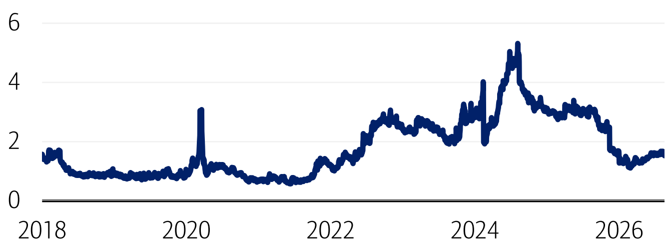
Exhibit 3: UST liquidity has not worsened in recent weeks

UST liquidity index (avg yield error). Lower yield error implies more favorable liquidity



Source: Bloomberg

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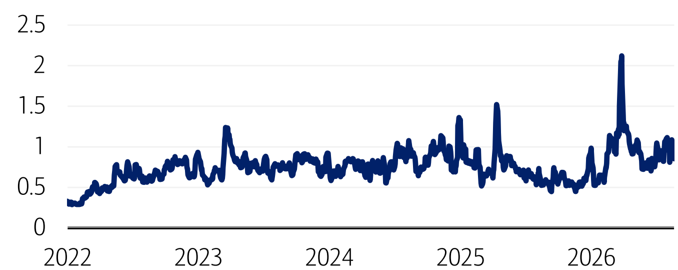
Exhibit 4: No sign of worsening UST liquidity in 30y

5d moving average of BBG bid / offer on off-the-run 30y bond



Source: Bloomberg

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Exhibit 5: Monthly Treasury buyback forecast ($bn)

Our implied buybacks forecast is based on announced buyback sizes for Aug-Oct and realized buyback sizes from the prior year. We adjust these forecasts to assume $2b increase per long-end operation ($4-6b/m)

	Buybacks	Implied buyback forecast	Adjusted buyback forecast
1/31/2026	16		
2/28/2026	18		
3/31/2026	45		
4/30/2026	55		
5/31/2026	16		
6/30/2026	37		
7/31/2026	13		
8/31/2026		16	16
9/30/2026		34	40
10/31/2026		13	19
11/30/2026		10	14
12/31/2026		34	38
1/31/2027		16	22
2/28/2027		18	26
3/31/2027		45	51
4/30/2027		55	61
5/31/2027		16	18
6/30/2027		37	43
7/31/2027		13	21
8/31/2027		16	20
9/30/2027		34	40

Source: BofA Global Research, Treasury

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Exhibit 6: Monthly net coupon and bill forecasts ($bn)

We adjust our net coupon forecasts lower and net bill forecasts higher to account for the change in expected long-end buybacks.

	Net coupons	Net bills	Net coupons forecast	Net bills forecast
1/31/2026	57	298		
2/28/2026	97	284		
3/31/2026	141	-213		
4/30/2026	36	299		
5/31/2026	112	128		
6/30/2026	136	-165		
7/31/2026	16	188		
8/31/2026	110	216	110	216
9/30/2026			114	96
10/31/2026			-26	-142
11/30/2026			92	192
12/31/2026			115	-85
1/31/2027			7	254
2/28/2027			93	319
3/31/2027			121	-255
4/30/2027			98	258
5/31/2027			117	258
6/30/2027			139	-118
7/31/2027			93	124
8/31/2027			112	248
9/30/2027			127	-261

Source: BofA Global Research, Treasury

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Appendix

Consolidated balance sheet QE

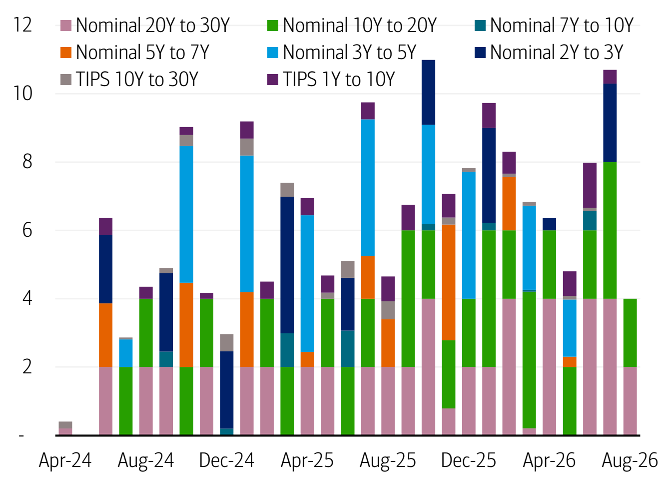
The consolidated government balance sheet accounting approach considers Fed debt and Treasury debt as liabilities of the US govt. With that approach, Treasury buybacks are very similar to Fed QE. Both ops increase short-dated debt – reserves in the case of Fed and Tbills + belly in case of Treasury – and decrease long-dated debt held by the public. Both operations keep the total government debt stock unchanged but shorten the maturity. This implies that the impact on financial conditions like equities and on asset inflation should be similar between Fed QE and Treasury buybacks.

The main differences between WAM shortening implemented by Fed vs Treasury is that (1) Fed issues exclusively overnight debt (reserves) while Treasury can issue a mix of shorter maturities not just overnight, and (2) Fed QE typically increases deposits and bank balance sheets while Treasury buybacks do not change total deposits or bank balance sheet sizes. As such, WAM shortening implemented by Treasury is M2-neutral which likely appeals to Chair Warsh given his past comments on the oversized Fed balance sheet.

Growth in buybacks shifting from frequency to size

Historically, Treasury has adjusted buybacks either via (1) changing the frequency of the operation or (2) changing the max size of the buyback. Over time we have seen total buybacks in long-end buckets grow most relative to other buckets (Exhibit 7). Historically, however, this increase in long-end buybacks has been driven by increased operation frequency rather than a change to buyback size. Over the last year, Treasury increased frequency of long-end buybacks from 15x per year to 33x per year (Exhibit 9). At the same time, Treasury has kept buyback sizes steady for long-end buckets since June ’24 (Exhibit 8). On net, total long-end buybacks have grown from a max of $30b per year to $66b per year (Exhibit 10). Looking ahead, if Treasury maintains buyback sizes at $4b per long-end operation for the next year and holds operation frequency, total long-end buybacks would increase as additional $66b to $132b per year.

Exhibit 7: Treasury buybacks by maturity bucket by month ($bn)
Monthly buybacks for 10-20y and 20-30y buckets have risen due to higher operation frequency



Source: BofA Global Research, Treasury

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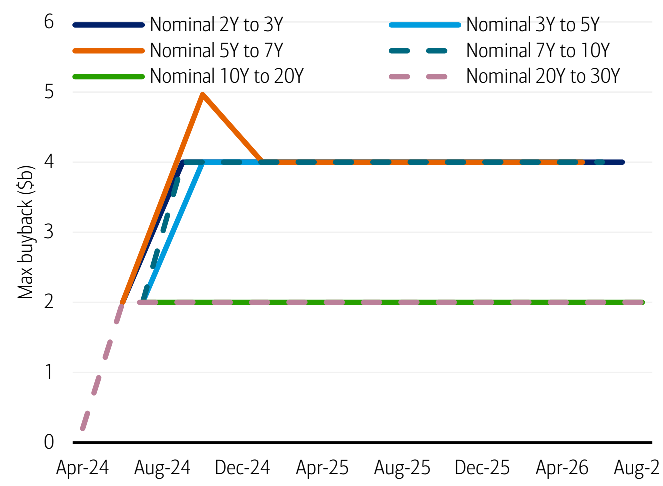
Exhibit 8: Buyback sizes by operation by maturity bucket ($b)
Treasury has maintained buyback operation sizes for all nominal liquidity management buybacks since early ‘25



Source: BofA Global Research, Treasury

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Exhibit 9: Frequency of buybacks by month by maturity bucket (number of operations)

Treasury has increased frequency of long-end buybacks historically while maintaining operation size

	1M to 2Y	2Y to 3Y	3Y to 5Y	5Y to 7Y	7Y to 10Y	10Y to 20Y	20Y to 30Y	TIPS 1Y to 10Y	TIPS 10Y to 30Y
Sep 2024	4	1	0	0	1	0	1	0	1
Oct 2024	0	0	1	1	0	1	0	1	1
Nov 2024	1	0	0	0	0	1	1	1	0
Dec 2024	3	1	0	0	1	0	0	0	1
Jan 2025	0	0	1	1	0	0	1	1	1
Feb 2025	1	0	0	0	0	1	1	1	0
Mar 2025	3	1	0	0	1	1	0	0	1
Apr 2025	4	0	1	1	0	0	1	1	0
May 2025	1	0	0	0	0	1	1	1	1
Jun 2025	2	1	0	0	1	1	0	0	1
Jul 2025	0	0	1	1	0	1	1	1	0
Aug 2025	1	0	0	1	0	0	1	1	2
Sep 2025	0	0	0	0	0	2	1	1	1
Oct 2025	0	1	1	0	1	1	2	0	0
Nov 2025	0	0	0	1	0	1	1	1	2
Dec 2025	2	0	1	0	0	1	1	0	1
Jan 2026	0	1	0	0	1	2	1	1	1
Feb 2026	1	0	0	1	0	2	2	1	1
Mar 2026	3	0	1	0	1	2	1	0	1
Apr 2026	3	1	0	0	0	1	2	0	0
May 2026	1	0	1	1	0	1	0	1	2
Jun 2026	2	0	0	0	1	1	2	2	1
Jul 2026	0	1	0	0	0	2	2	1	0
Aug 2026	1	0	1	1	0	1	1	0	0
Sum YoY '26	13	4	5	4	4	17	16	8	10
Sum YoY '25	20	4	4	5	4	7	8	8	9
Change	-7	0	1	-1	0	10	8	0	1

Source: BofA Global Research, Treasury

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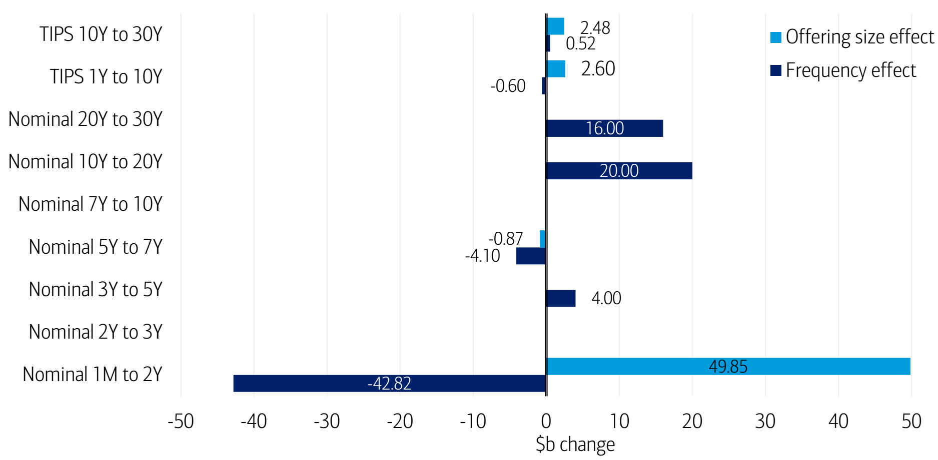
Exhibit 10: Change in buyback size by maturity bucket YoY ($b)

Treasury has grown and reduced buybacks by maturity buckets over time via 1) changing the offering size and 2) changing the frequency



Source: BofA Global Research, Treasury. Note: we sum growth in buybacks by maturity bucket YoY vs the prior YoY change

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